housing, which is beneficial for private consumption.

To ensure a sustained increase in private consumption, it is crucial to create durable employment opportunities and increase household permanent income. Measures aimed at bridging the skill gap and focusing on high-employment sectors, such as MSMEs, are steps in this direction.

GOYAL: It may trigger a virtuous cycle. The lower middle classes benefit largely from the tax breaks and they are also swelling as more rise up income ladders. Corporates that create appropriately priced products for these classes will do well. Rising investment and jobs will further raise consumption.



"The income tax breaks for the middle class will trigger a virtuous cycle that could see corporates doing well, resulting in rising investment and jobs, raising consumption"
ASHIMA GOYAL

CHAKRABORTY: The extent of personal income tax cuts has been larger than anticipated. This would not only improve the cash in hand for the consumer but could also affect consumer sentiment positively. The income tax multiplier could also be acting quicker in stabilising demand than the capital expenditure multiplier in the current macro environment. If this is supplemented by an easier monetary policy of lower rates, then even the consumer credit channel could be more active and help revive consumption faster.

MISHRA: A fall in the fiscal deficit ratio, while necessary to bring down the debt-to-GDP and improve fiscal sustainability, means that the government's contribution to aggregate demand is negative. With government capex as share of the GDP unchanged, this means that revenue expenditure, linked broadly to consumption, is budgeted to fall as share of the GDP. So, the impact on overall consumption is not additive. The tax cuts benefit the few crore taxpayers, who have contributed to the fiscal consolidation so far, and have also financed the increase in government spending on infrastructure. This is likely to boost consumption for discretionary items, and could also help demand for real estate.

PATNAIK: This budget was primarily concerned with increasing consumption. To comprehend this method, we must consider two elements. Our economy relies heavily on private consumption, accounting for around 60 per cent of the GDP. The budget understood that getting money into people's hands was critical to reviving moderate consumption growth. That brings us to the second point: the long-standing need to reduce the personal income tax burden borne by the salaried middle class. The government has forgone Rs 1 lakh crore in personal income tax collection through the budget. This is to exempt those with annual incomes of less than Rs 12 lakh from the tax net while providing some relief to those with higher incomes. Some of this tax relief money will be saved, while the remainder would be spent. ■

Q ARE THE PROPOSALS ENOUGH TO SPUR EXPORTS AND INVESTMENT GIVEN THE GEO-POLITICAL AND ECONOMIC UNCERTAINTIES?

JOSHI: Recently, the US imposed significant tariffs on China, Mexico and Canada. As a country with a trade surplus with the US, India must remain vigilant against similar actions. The US policies, along with the responses from affected countries and reactions in financial markets, suggest a higher downside risk to global growth and trade. This increased uncertainty also hampers private capex decisions. In this context, the budget's focus on stimulating domestic demand and investments through deregulation and decriminalisation of laws is commendable and should be thoroughly implemented.

GOYAL: The uncertainties may well be to India's advantage. The best way to prepare for them is to strengthen

Q DOES THE BUDGET ADDRESS THE ISSUES THAT THE MANUFACTURING SECTOR, MSMEs IN PARTICULAR, ARE GRAPPLING WITH?

JOSHI: Three key measures related to MSMEs stand out. First, the updated classification will allow entities with a turnover of up to Rs 500 crore to be recognised as